

## **EXAM 7 – SPRING 2012**

22. (2 points)

An insurance company is planning to upgrade its current claims system. The project is expected to take several months, during which time the claims system will be periodically offline. In addition, much of the design and installation of the new system will be outsourced to a third party.

a. (0.5 point)

Describe what is meant by “operational risk.”

b. (1.5 points)

Identify two potential sources of operational risk this project entails and suggest a way to mitigate each one.

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## **Question 22 Sample Answer**

### **Solution 1**

- a) Operational is the risk due to failure of people, processes, systems, or due to external events. Includes legal, but excludes reputational, strategic, and systematic.
- b)
- Business Disruption and System Failures – since the claims system may sometimes be offline so the claims dept can't get their job done of serving customers. Could mitigate by having a back-up system in place for when the new system is down.
  - External fraud – since this project is being outsourced, a third party may have access to their data and could hack the computer systems. Mitigate by requiring passwords to access certain info, and have heightened security.

### **Solution 2**

- a) The risk of loss due to failed process, people or systems, or from external events. This includes legal risk but generally excludes reputational or strategic risk.
- b)
1. Business disruption/systems failures, due to the system being offline. You should have 2 settings running in parallel, 1 for development and 1 for regular use, until the new system is ready. Make sure any outages occur late at night.
  2. Execution, Delivery & Process Mgmt. There is a risk the vendor won't deliver the system, or that the system won't function properly. To mitigate, you should ensure clarity & communication w/ your own IT personnel & the offshore personnel, so that expectations of the new system are clear. You should also fund for this risk in the event that your customer claims aren't processes accurately.

## **Examiner Comment**

Candidates generally selected two operational risks and provided valid means of mitigation. Some candidates included reputational risk in their solutions where the definition of operational risk excludes this risk. A few candidates included operational risks that were not relevant to the example given in the problem. While grading we were considerate that "operational risk" can have numerous examples depicting it.